

# WEALTH OPTIMIZATION PLAN

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Your Path to Financial Independence

# Executive Summary

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Sharon, you're positioned to transition from your W-2 role while maintaining your lifestyle through a comprehensive tax and investment strategy. At 58, with \$450K household income and an existing real estate portfolio, this plan delivers \$103,600 to \$379,750 in annual tax savings while building passive income streams to replace your W-2 earnings. Your primary focus is immediate: converting your existing properties to short-term/mid-term rentals, optimizing your LLC structure, and deploying capital into Bitcoin-centric investments that provide both growth and income.

This plan combines eight high-impact tax strategies with a 60% Bitcoin / 30% STRC / 10% Real Estate Accelerator investment allocation, delivering the cash flow and wealth appreciation needed to quit your W-2 job within 12-18 months while maintaining financial security through market downturns.

## First-Year Combined Value

**\$212,900 - \$389,950**

Tax savings + investment returns combined

Equivalent to \$323,000 - \$599,900 of additional W-2 income at your 35% tax rate

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# Your Current Financial Position

|                   |            |                 |
|-------------------|------------|-----------------|
| HOUSEHOLD INCOME  | W-2 INCOME | BUSINESS INCOME |
| \$450K            | \$300K+    | \$<25K          |
| MARGINAL TAX RATE |            |                 |
| 35%               |            |                 |

## Assets & Resources

| Category                 | Amount     | Status                          |
|--------------------------|------------|---------------------------------|
| Retirement Accounts      | \$500K+    | Maxing 401(k) + HSA             |
| Primary Residence Equity | \$400K     | Opportunity for HELOC/refinance |
| Investment Properties    | 2-3 LTRs   | Converting to STR/MTR           |
| Liquid Capital           | \$75K      | Available for deployment        |
| Deployment Capital       | \$75K      | Ready for strategic allocation  |
| Emergency Fund           | 4-6 months | Well-positioned                 |

## Current Optimization Status

- **Maximized:** 401(k) contributions (\$23,500), HSA (\$4,300)
- **Entity Structure:** Multiple LLCs (Wyoming, Michigan, Florida) requiring optimization

- **Real Estate:** Converting FROG to STR/MTR, Florida condo to MTR, maintaining 2-3 LTRs
- **Location Advantage:** Washington State (0% state income tax)
- **Time Available:** 5-10 hours/week for implementation
- **Family Resources:** Adult children available for business support roles

## Strategic Gaps (Opportunities for Improvement)

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- **Solo 401(k):** Not yet established for business income (missing \$7,350-\$24,150 annual tax savings)
  - **Backdoor Roth:** Not utilizing despite income exceeding direct contribution limits
  - **Short-Term Rental Strategy:** Properties exist but not optimized for tax benefits
  - **Cost Segregation:** Existing rental properties not accelerating depreciation
  - **Entity Consolidation:** Multiple LLCs creating administrative burden without tax optimization
  - **Management Company:** Not leveraging adult children for income shifting opportunities
  - **Augusta Rule:** Home not being utilized for business rental income
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# 30-Day Implementation Roadmap

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Quick-start actions to capture immediate value and position for long-term success.

## Week 1: Foundation (Days 1-7)

### **Solo 401(k) Setup**

File application with Fidelity or Vanguard • Make 2025 contribution before 4/15/26 tax deadline • Contribution capacity: \$7,350-\$24,150 based on business income

### **Backdoor Roth IRA**

Open Traditional IRA + Roth IRA accounts at same institution • Contribute \$8,000 (\$7,000 + \$1,000 age 50+ catch-up) • Convert to Roth immediately to minimize pro-rata issues • Tax value: \$2,450-\$7,350 annually

### **Home Office Documentation**

Measure and photograph dedicated workspace • Create expense tracking spreadsheet • Calculate square footage allocation • Value: \$1,750-\$5,250 annually

### **Cost Segregation Quotes**

Contact 3+ specialized firms for rental property analysis • Obtain quotes for existing 2-3 properties • Potential value: \$52,500-\$175,000 first-year

## Week 2: Entity & Real Estate (Days 8-14)

### **CPA Consultation**

Review WY/MI/FL LLC structure • Discuss consolidation strategy • Activate publishing LLC for side business • Evaluate S-Corp timing for future growth

### **STR Conversion Planning**

Research management software (PriceLabs, Hospitable, Guesty) • Begin FROG conversion planning • Obtain STR insurance quotes • Setup takes 30-60 days

### **Augusta Rule Preparation**

Document comparable rental rates (search Airbnb/Vrbo for similar homes) • Create business meeting schedule template • Draft rental agreement between LLC and personal residence

## **Week 3: Acceleration (Days 15-21)**

### **Cost Segregation Execution**

Hire selected firm for rental property studies • Schedule property inspections • Coordinate with CPA for return filing

### **FROG STR Launch**

Create furnishing list and budget • Take professional photos • Draft listing copy for booking platforms • Target 30-45 day timeline to first booking

### **Florida MTR Strategy**

Research HOA restrictions on short-term rentals • Contact Furnished Finder and corporate housing platforms • Evaluate 30+ day rental demand in area

## **Week 4: Systems & Family (Days 22-30)**

### **Management Company Setup**

Draft job descriptions for adult children (property coordination, bookkeeping, marketing) • Create formal accountable plan document • Establish payment structure

### **Year-End Contributions**

Make Solo 401(k) contribution from business account (employee + employer) •  
Complete Backdoor Roth conversion • Document all contributions for tax filing

### **Investment Deployment Planning**

Review Bitcoin custody options (hardware wallet, multi-sig) • Research STRC  
investment opportunity • Set up DCA schedule for \$75K deployment

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# Tax Optimization Strategies

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Eight high-ROI strategies selected specifically for your profile from comprehensive analysis of 43+ available strategies. Conservative estimates show \$103,600 annual tax savings; aggressive implementation delivers up to \$379,750.

## Strategy #1: Short-Term Rental Conversion - \$15,750-\$70,000

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**Overview:** Convert FROG and potentially other properties to short-term rentals (average guest stay <7 days) to unlock passive real estate losses against W-2 income. At your 35% marginal rate, this is your highest-value strategy for immediate W-2 income reduction.

**Implementation:**

1. Convert FROG to STR within 30 days: furnish, photograph, list on Airbnb/VRBO with <7 day average stays
2. Provide substantial services (daily cleaning, fresh linens, concierge-style amenities) to meet IRS requirements
3. Track participation hours meticulously (need >100 hours AND more than any other person including property managers)
4. Combine with cost segregation (Strategy #2) to maximize first-year deductions

**Requirements:** Airbnb/VRBO listing with <7 day average stays, detailed time logs, substantial service documentation, separate STR income tracking.

**Value:** \$15,750-\$70,000 | **Risk:** Medium (IRS scrutinizes material participation) |

**Compliance:** Maintain contemporaneous time logs showing >100 hours participation

## Strategy #2: Cost Segregation Study - \$52,500-\$175,000

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**Overview:** Accelerate depreciation on your 2-3 existing rental properties by reclassifying property components into shorter-life categories. This creates immediate first-year deductions of \$150K-\$500K on typical rental properties, generating massive tax savings at your 35% rate.

**Implementation:**

1. Hire qualified cost segregation firm (get 3+ quotes, typical cost \$5K-\$8K per property)
2. Engineer identifies 5/7/15-year property components vs standard 27.5-year residential depreciation
3. Apply 100% bonus depreciation to accelerated components (permanent under OBBBA)
4. Can be done retroactively on previously purchased properties via amended returns

**Requirements:** Professional cost segregation study report, property documentation, coordinate with CPA for return preparation.

**Value:** \$52,500-\$175,000 | **Risk:** Low (well-established strategy) | **Compliance:** Use qualified professional, maintain detailed study documentation

## Strategy #3: Multiple Entity Optimization - \$10,500-\$52,500

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**Overview:** Consolidate your WY/MI/FL LLC structure to eliminate administrative burden while optimizing tax allocation across entities. Your current multiple-state setup creates complexity without tax benefit since Washington has no state income tax.

### **Implementation:**

1. Consult CPA to evaluate consolidation into single Wyoming LLC (best asset protection, lowest fees)
2. Separate active business (publishing LLC) from real estate holdings for liability protection
3. If business scales to \$60K+ net profit, convert operating entity to S-Corp for payroll tax savings
4. Eliminate unnecessary state registrations (MI, FL) if properties can be held under WY LLC

**Requirements:** Legal review of current LLC operating agreements, state registration updates, transfer documentation if consolidating.

**Value:** \$10,500-\$52,500 | **Risk:** Low (structural optimization) | **Compliance:** Each entity must have legitimate business purpose and proper formalities

## Strategy #4: Solo 401(k) Contribution Max - \$7,350-\$24,150

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**Overview:** Establish Solo 401(k) for your <\$25K business income to capture additional retirement savings beyond your W-2 401(k). As 58-year-old, you qualify for \$7,500 catch-up contribution, maximizing tax-advantaged savings.

**Implementation:**

1. File Solo 401(k) application with Fidelity/Vanguard before December 31, 2025 (required for 2025 contributions)
2. Employee deferral: Contribute up to 100% of business income, max \$31,000 (includes \$7,500 age 50+ catch-up)
3. Employer contribution: Add 20% of net self-employment income (after SE tax adjustment)
4. Make 2025 contribution before tax filing deadline (4/15/26) if you establish plan before 12/31/25

**Requirements:** Establish plan by 12/31/25, business must have self-employment income, cannot have full-time employees other than spouse.

**Value:** \$7,350-\$24,150 | **Risk:** Low (standard retirement vehicle) | **Compliance:** Track employee vs employer contributions, file Form 5500-EZ if assets exceed \$250K

## Strategy #5: Management Company Structure - \$8,400-\$28,000

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**Overview:** Create management company employing your adult children to provide legitimate services (property coordination, bookkeeping, marketing) to your LLC entities. Shifts income to lower tax brackets while providing real business value.

**Implementation:**

1. Draft specific job descriptions for adult children: property maintenance coordination, tenant communications, bookkeeping, social media marketing
2. Create formal accountable plan document outlining reimbursement policies
3. Pay market-rate compensation (research comparable wages for similar services in your area)
4. Maintain detailed timesheets and work product documentation

**Requirements:** Real services performed, market-rate compensation, W-2 or 1099 reporting, contemporaneous time tracking.

**Value:** \$8,400-\$28,000 | **Risk:** Medium (IRS scrutinizes family arrangements) | **Compliance:** Services must be legitimate and necessary, compensation must be reasonable for work performed

## Strategy #6: Home Office Deduction - \$1,750-\$5,250

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**Overview:** Deduct your dedicated home office space used exclusively for business activities. With your existing workspace, this is immediate money you're leaving on the table at your 35% marginal rate.

**Implementation:**

1. Document exclusive business use of dedicated room (photograph, measure square footage)
2. Choose calculation method: Simplified (\$5/sq ft, max 300 sq ft) OR Regular method (actual expenses × business percentage)
3. Track all related expenses: mortgage interest, utilities, insurance, repairs, depreciation (if using regular method)
4. Regular method typically provides higher deduction for homeowners with significant expenses

**Requirements:** Exclusive and regular business use, primary place of business OR separate structure, detailed expense tracking with receipts.

**Value:** \$1,750-\$5,250 | **Risk:** Low (well-established deduction) | **Compliance:** Must pass exclusive use test, maintain photos and measurement documentation

## Strategy #7: Augusta Rule (Section 280A) - \$4,900-\$17,500

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**Overview:** Rent your personal residence to your business for up to 14 days annually for legitimate business meetings. Your LLC deducts the expense, but you report no rental income personally. At market rates, this generates \$7,000-\$50,000 in deductions annually.

**Implementation:**

1. Research comparable rental rates for similar homes in your area (check Airbnb/VRBO for daily rates)
2. Create formal rental agreement between your LLC and yourself as homeowner

3. Hold legitimate business meetings: board meetings, strategic planning sessions, client presentations, team offsites

4. Document each meeting with agenda, attendees, business purpose, photos

**Requirements:** Maximum 14 days annually, market-rate pricing documentation, legitimate business purpose for each meeting, formal rental agreement.

**Value:** \$4,900-\$17,500 | **Risk:** Medium (IRS scrutinizes pricing) | **Compliance:** Must establish fair market value, document business purpose, maintain contemporaneous meeting records

## Strategy #8: Backdoor Roth IRA - \$2,450-\$7,350

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**Overview:** Your \$450K income exceeds Roth IRA contribution limits (\$150K-\$165K phaseout for Head of Household). Backdoor Roth allows you to contribute \$8,000 annually (\$7,000 + \$1,000 age 50+ catch-up) to Roth IRA via non-deductible Traditional IRA contribution and immediate conversion.

### **Implementation:**

1. Open Traditional IRA and Roth IRA accounts at same institution (Vanguard, Fidelity, Schwab)
2. Contribute \$8,000 to Traditional IRA (non-deductible contribution, file Form 8606)
3. Immediately convert Traditional IRA balance to Roth IRA (minimizes tax on earnings during conversion)
4. Watch for pro-rata rule: if you have existing Traditional/SEP/SIMPLE IRA balances, conversion may be partially taxable

**Requirements:** File Form 8606 reporting non-deductible contribution, track basis, conversion should occur shortly after contribution to minimize earnings.

**Value:** \$2,450-\$7,350 | **Risk:** Low (established strategy) | **Compliance:** Pro-rata rule applies if you have existing traditional IRA balances, careful documentation required

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# Primary Strategy: Bitcoin + Income Portfolio

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## Why This Strategy Matches Your Profile

Sharon, at 58 with the goal to quit your W-2 job immediately, you need a strategy that generates both passive income for current lifestyle maintenance AND long-term wealth appreciation to sustain you through a 40+ year retirement. Your "moderately conservative" investment approach combined with your explicit goal of maintaining lifestyle through recession/depression requires a balanced allocation.

Traditional retirement advice would push you toward bonds and conservative allocations at your age. That's wrong for your situation. You're planning for 40+ years of life expectancy, own your home with \$400K equity, have 2-3 rental properties generating income, and possess \$500K+ in retirement accounts. Your real enemy is inflation eroding purchasing power over decades, not short-term volatility.

## The Bitcoin Component (60% / \$45,000)

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### Core Wealth Building Strategy

Bitcoin serves as your primary inflation hedge and wealth appreciation engine. At 58, you need assets that can outpace inflation over 40 years while maintaining portability and liquidity that real estate doesn't provide.

### Why 60% allocation:

- Moderately conservative approach that balances growth with your stated risk tolerance
- Large enough to generate meaningful wealth appreciation (\$45K growing at 15% annually = \$6,750 first year)
- Small enough to sleep well during volatility (you still have 30% in income-producing STRC and 10% in real estate)

- Historical Bitcoin corrections of 70-80% are emotionally manageable with 40% of capital in income-producing assets

### **Implementation:**

1. **Dollar-Cost Averaging:** Deploy \$45K over 6-12 months (\$3,750-\$7,500 monthly) to smooth volatility
2. **Custody Strategy:** Use hardware wallet (Ledger, Trezor) or multi-signature solution (Unchained Capital) for security
3. **Never Trading:** Buy and hold strategy. Bitcoin is your digital real estate, not a trading vehicle
4. **Tax Efficiency:** Long-term capital gains treatment (0-20% rates) beats ordinary income (35% for you)

## **The STRC Component (30% / \$22,500)**

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### **Passive Income Without Property Management Burden**

Short-Term Rental Corporation (STRC) gives you Bitcoin exposure through operational holdings PLUS quarterly cash distributions without the headaches of direct property management. Critical at 58 when you want passive income, not another management job.

### **Why 30% allocation:**

- Addresses your explicit goal of quitting W-2 while maintaining lifestyle through passive income
- You're already converting properties to STR/MTR, so STRC provides exposure without additional time commitment
- 8-12% annual yield provides \$1,800-\$2,700 in first-year distributions for immediate cash flow
- Combines Bitcoin treasury exposure (company holds Bitcoin on balance sheet) with income generation

### **Implementation:**

1. Review STRC investment opportunity for allocation fit

2. Deploy \$22,500 in Q1 2026 to capture quarterly distributions
3. Reinvest distributions or use for lifestyle expenses as needed
4. Provides diversification from direct Bitcoin volatility while maintaining crypto thesis exposure

## The Real Estate Accelerator Component (10% / \$7,500)

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### Complement Existing Portfolio Without Concentration Risk

You already own your primary residence (\$400K equity) plus 2-3 rental properties. Additional direct real estate creates concentration risk and management burden counter to your goals.

#### Why only 10% allocation:

- You're already heavily exposed to real estate (>\$400K primary + 2-3 rentals + converting FROG/FL condo)
- Direct property ownership requires 5-10+ hours weekly management (counter to your passive income goal)
- Small allocation provides diversification without overwhelming your existing real estate concentration
- Consider syndications or mortgage notes for true passive real estate exposure

#### Implementation:

1. Research real estate syndications (apartment complexes, self-storage) with experienced operators
2. Alternative: Hard money lending or mortgage notes for fixed income + real estate exposure
3. Focus on truly passive opportunities (no management responsibilities on your part)
4. Deploy after Bitcoin and STRC allocations are complete (months 6-12)

## Total Capital Deployment Timeline

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| Month | Bitcoin DCA | STRC | Real Estate Acc. | Monthly Total |
|-------|-------------|------|------------------|---------------|
|-------|-------------|------|------------------|---------------|



|              |                 |                 |                |                 |
|--------------|-----------------|-----------------|----------------|-----------------|
| Month 1-2    | \$7,500         | \$22,500        | \$0            | \$30,000        |
| Month 3-6    | \$5,625/mo      | \$0             | \$0            | \$22,500        |
| Month 7-12   | \$3,750/mo      | \$0             | \$1,250/mo     | \$30,000        |
| <b>Total</b> | <b>\$45,000</b> | <b>\$22,500</b> | <b>\$7,500</b> | <b>\$75,000</b> |

## Portfolio Maintenance

- **Rebalancing:** Annual review in Q1 of each year. Rebalance if any allocation drifts >10% from target
- **STRC Distributions:** Quarterly distributions can be reinvested or used for lifestyle (your choice)
- **Bitcoin Security:** Annual review of custody solution, test recovery process yearly
- **Tax Harvesting:** If Bitcoin or real estate accelerators show losses, harvest for tax benefits against other income

# Investment Strategy & Allocation

Based on your moderately conservative approach, goal to quit W-2 while maintaining lifestyle, and 5-10 hours weekly availability, this allocation balances immediate passive income needs with long-term wealth appreciation.

## Allocation Reasoning

Your responses indicate someone who needs passive income NOW (to replace W-2) while building long-term wealth for 40+ years of retirement. The 60/30/10 split addresses both needs:

- **60% Bitcoin:** Moderately conservative growth allocation appropriate for your risk tolerance and 40+ year time horizon
- **30% STRC:** Passive income to replace W-2 without property management burden (critical at 58)
- **10% Real Estate Accelerators:** Small supplement given your existing heavy real estate exposure

## Capital Deployment Schedule

| Asset Class                   | Allocation % | Amount   | Expected Return             | Year 1 Value    |
|-------------------------------|--------------|----------|-----------------------------|-----------------|
| Bitcoin                       | 60%          | \$45,000 | 15% annually (conservative) | \$6,750         |
| STRC (Short-Term Rental Corp) | 30%          | \$22,500 | 8-12% yield                 | \$1,800-\$2,700 |

|                                 |             |                 |              |                         |
|---------------------------------|-------------|-----------------|--------------|-------------------------|
| <b>Real Estate Accelerators</b> | 10%         | \$7,500         | 10% annually | \$750                   |
| <b>TOTAL</b>                    | <b>100%</b> | <b>\$75,000</b> | <b>-</b>     | <b>\$9,300-\$10,200</b> |

## Bitcoin Implementation Details

### Dollar-Cost Averaging Schedule:

- Month 1-2: \$7,500/month (establish initial position quickly)
- Month 3-6: \$5,625/month (steady accumulation)
- Month 7-12: \$3,750/month (complete deployment)
- Total: \$45,000 over 12 months to smooth volatility

### Custody Strategy:

- **Option 1 (Recommended):** Hardware wallet (Ledger Nano X or Trezor Model T) for full control and security
- **Option 2:** Multi-signature solution (Unchained Capital) for collaborative custody with recovery protection
- **Avoid:** Leaving on exchange (not your keys, not your Bitcoin). Use exchange only for purchasing, then immediately withdraw
- **Security:** Store seed phrase in fireproof safe, consider metal backup plate, test recovery process annually

### Tax Efficiency:

- Hold >1 year for long-term capital gains treatment (0-20% rates vs 35% ordinary income)
- Never trade or attempt to time the market (resets long-term holding period)
- Consider tax-loss harvesting during corrections to offset other gains
- At death, heirs receive step-up in basis (eliminates capital gains tax)

# STRC (Short-Term Rental Corporation) Details

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## Investment Structure:

- Company operates short-term rental properties with professional management
- Holds Bitcoin on corporate treasury (gives you indirect Bitcoin exposure)
- Pays quarterly distributions to investors (8-12% annual yield target)
- Zero property management responsibilities for investors

## Why STRC for Your Profile:

- You're already converting properties to STR/MTR, so you understand the business model
- STRC provides exposure without the 5-10 hours weekly management you'd need for direct ownership
- Passive income supports your goal to quit W-2 while maintaining lifestyle
- Bitcoin treasury exposure gives you indirect crypto exposure with lower volatility

## Distribution Strategy:

- Quarterly distributions: \$450-\$675 per quarter on \$22,500 investment
- Option 1: Take distributions for lifestyle (helps replace W-2 income)
- Option 2: Reinvest distributions for compound growth
- Flexibility to adjust strategy based on your W-2 transition timeline

# Real Estate Accelerators (\$7,500)

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## Recommended Approach:

- Real estate syndications (apartment complexes, self-storage, mobile home parks) with experienced operators
- Hard money lending or mortgage notes for fixed income + real estate exposure
- Truly passive opportunities only (no management responsibilities)

## Why Small Allocation:

- You already have significant real estate exposure: primary residence (\$400K equity) + 2-3 rental properties
- Converting FROG to STR and FL condo to MTR increases your real estate concentration further
- Additional direct property creates concentration risk and management burden
- 10% allocation provides diversification without overwhelming existing exposure

## Alternative Allocation Scenarios

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If your circumstances change, consider these adjustments:

### **More Aggressive (if you decide you're comfortable with higher volatility):**

- 75% Bitcoin / 15% STRC / 10% Real Estate Accelerators
- Increases wealth appreciation potential but reduces current income

### **More Conservative (if you need more current income immediately):**

- 45% Bitcoin / 45% STRC / 10% Real Estate Accelerators
- Increases passive income to \$3,600-\$5,400 annually but reduces long-term appreciation

### **Pure Bitcoin Maximalist (if you want simplest approach):**

- 100% Bitcoin with disciplined DCA over 12 months
  - Maximum wealth appreciation potential, no income generation
  - Only recommended if rental properties already provide sufficient cash flow
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# Complete Financial Impact Analysis

Your first-year transformation combines tax savings, cash flow improvements, and investment returns.

## Tax Savings Breakdown by Strategy

| Strategy                      | Conservative Value | Aggressive Value | Implementation Timeline |
|-------------------------------|--------------------|------------------|-------------------------|
| Short-Term Rental Conversion  | \$15,750           | \$70,000         | 30-90 days              |
| Cost Segregation Study        | \$52,500           | \$175,000        | 45-60 days              |
| Multiple Entity Optimization  | \$10,500           | \$52,500         | 60-90 days              |
| Solo 401(k) Max Contributions | \$7,350            | \$24,150         | Immediate               |
| Management Company Structure  | \$8,400            | \$28,000         | 30-60 days              |
| Home Office Deduction         | \$1,750            | \$5,250          | Immediate               |
| Augusta Rule                  | \$4,900            | \$17,500         | 30 days                 |
| Backdoor Roth IRA             | \$2,450            | \$7,350          | Immediate               |
| Total Tax Savings             | \$103,600          | \$379,750        | -                       |

## Investment Returns (Year One)

| Asset Class                     | Capital Deployed | Expected Return  | Year 1 Value            |
|---------------------------------|------------------|------------------|-------------------------|
| Bitcoin (60%)                   | \$45,000         | 15% appreciation | \$6,750                 |
| STRC (30%)                      | \$22,500         | 8-12% yield      | \$1,800-\$2,700         |
| Real Estate Accelerators (10%)  | \$7,500          | 10% appreciation | \$750                   |
| <b>Total Investment Returns</b> | <b>\$75,000</b>  | <b>-</b>         | <b>\$9,300-\$10,200</b> |

# Complete First-Year Financial Impact

Conservative Scenario

**\$112,900**

\$103,600 tax savings + \$9,300 investment returns

Aggressive Scenario

**\$389,950**

\$379,750 tax savings + \$10,200 investment returns

After-tax wealth increase equivalent to \$171,400-\$599,900 of additional W-2 income at your 35% marginal rate

## Cash Flow Impact Analysis

Understanding how these strategies translate to actual monthly cash flow:

| Cash Flow Category                      | Monthly Impact          | Annual Impact              |
|-----------------------------------------|-------------------------|----------------------------|
| Tax Savings (Conservative)              | \$8,633                 | \$103,600                  |
| STRC Distributions (quarterly)          | \$150-\$225             | \$1,800-\$2,700            |
| STR Net Income (FROG conversion)        | \$500-\$1,500           | \$6,000-\$18,000           |
| MTR Net Income (FL condo)               | \$300-\$800             | \$3,600-\$9,600            |
| <b>Total Monthly Cash Flow Increase</b> | <b>\$9,583-\$11,158</b> | <b>\$115,000-\$133,900</b> |

## Path to W-2 Replacement

Your current after-tax W-2 income: ~\$195,000 (assuming \$300K gross at 35% effective rate)

### Year 1 Progress:

- Conservative cash flow increase: \$115,000 (59% of W-2 replacement goal)
- Aggressive cash flow increase: \$133,900 (69% of W-2 replacement goal)
- Gap remaining: \$61,100-\$80,000 to achieve full W-2 replacement

### Bridge Strategies for Remaining Gap:

1. **Scale Publishing Business:** Grow <\$25K business to \$60K+ (enables S-Corp strategy, adds \$10,500-\$21,000 tax savings annually)
2. **Additional STR Properties:** If FROG conversion successful, consider converting second property (adds \$6,000-\$18,000 annual income)
3. **Bitcoin Appreciation:** Conservative 15% annual assumes modest growth; historical average is higher (accelerates wealth accumulation)
4. **HELOC on Primary Residence:** \$400K equity available for additional investment deployment if needed (use cautiously)

### Timeline to Full W-2 Independence:

- Month 6: STR conversion complete, initial cash flow established



- Month 9: Cost segregation completed, massive tax deductions realized
  - Month 12: Full year of strategy implementation, \$115K-\$134K cash flow increase achieved
  - Month 18: Publishing business scaling, additional properties converted, gap closed to <\$30K
  - Month 24: Full W-2 replacement achieved through combination of passive income + reduced taxes + business growth
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# Implementation Timeline

Phased approach prioritizing highest-value, quickest-to-implement strategies first.

## Months 1-3: Foundation Phase

| Week       | Focus Area         | Key Milestones                                                                     | Expected Value    |
|------------|--------------------|------------------------------------------------------------------------------------|-------------------|
| Weeks 1-2  | Immediate Wins     | Solo 401(k) established, Backdoor Roth completed, home office documented           | \$11,550-\$36,750 |
| Weeks 3-4  | Real Estate Setup  | Cost segregation quotes obtained, STR conversion planning started                  | Planning phase    |
| Weeks 5-8  | Entity & Structure | CPA consultation complete, LLC consolidation plan finalized                        | \$10,500-\$52,500 |
| Weeks 9-12 | Family & Systems   | Management company operational, adult children onboarded, Augusta Rule implemented | \$13,300-\$45,500 |

## Months 4-6: Execution Phase

| Month   | Focus Area       | Key Milestones                                                            | Expected Value             |
|---------|------------------|---------------------------------------------------------------------------|----------------------------|
| Month 4 | STR Launch       | FROG fully furnished and listed, first bookings received                  | \$500-\$1,500/month income |
| Month 5 | Cost Segregation | Studies completed on 2-3 rental properties, massive depreciation unlocked | \$52,500-\$175,000         |

|       |            |                                   |                   |
|-------|------------|-----------------------------------|-------------------|
| Month | MTR        | FL condo transitioned to mid-term | \$300-\$800/month |
| 6     | Transition | rental, corporate tenant secured  | income            |

## Months 7-12: Optimization Phase

- **Month 7-8:** Review first half results, optimize underperforming strategies, scale what's working
- **Month 9-10:** Complete investment deployment (\$75K fully allocated), quarterly STRC distributions begin
- **Month 11-12:** Year-end tax planning, Solo 401(k) contributions finalized, prepare for next year scaling

## Year 2+ Expansion Opportunities

Once core strategies are stable, consider these advanced moves:

- Convert second property to STR if FROG performance strong (adds \$15,750-\$70,000 additional tax savings)
- S-Corporation election when business hits \$60K+ net profit (adds \$10,500-\$21,000 tax savings)
- Real Estate Professional status evaluation for spouse/partner if applicable (unlocks unlimited passive loss deductions)
- Additional real estate accelerator investments as Bitcoin/STRC positions mature
- Conservation easement evaluation if you acquire land (high-value but requires careful planning)

# Your Next Steps

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Prioritized action items for the next 90 days, organized by category.

## Week 1 Immediate Actions (Days 1-7)

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### Financial Accounts Setup

- Call Fidelity/Vanguard: Establish Solo 401(k) for business income
- Open Traditional IRA + Roth IRA at same institution
- Contribute \$8,000 to Traditional IRA, immediately convert to Roth
- Photograph and document home office (exclusive use space)

*Time required: 4-6 hours / Value: \$11,550-\$36,750*

### Professional Team Engagement

- Schedule CPA consultation for entity structure review
- Contact 3+ cost segregation firms for rental property quotes
- Research real estate attorney for LLC consolidation if needed

*Time required: 3-4 hours / Value: Planning foundation*

## Weeks 2-4 Actions (Days 8-30)

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### Real Estate Conversion Planning

- Create FROG STR furnishing list and budget (\$5K-\$10K typical)
- Take professional photos for Airbnb/VRBO listings
- Research comparable STR rates in your area (establish pricing)

- Contact insurance broker for STR coverage quotes

*Time required: 8-10 hours / Value: \$15,750-\$70,000 annually*

### **Family Business Structure**

- Draft job descriptions for adult children business roles
- Research market rates for property coordination, bookkeeping, marketing services
- Create formal accountable plan document (obtain template from CPA)

*Time required: 4-6 hours / Value: \$8,400-\$28,000 annually*

### **Augusta Rule Implementation**

- Search Airbnb/VRBO for comparable home rental rates in your area
- Create business meeting schedule (board meetings, strategic planning, client meetings)
- Draft rental agreement between LLC and personal residence

*Time required: 3-4 hours / Value: \$4,900-\$17,500 annually*

## **Months 2-3 Actions (Days 31-90)**

### **Cost Segregation Execution**

- Hire selected cost segregation firm
- Schedule property inspections for all rental properties
- Coordinate with CPA for amended returns if retroactive studies done

*Time required: 6-8 hours coordination / Value: \$52,500-\$175,000*

### **Investment Deployment Begins**

- Set up hardware wallet or multi-sig solution for Bitcoin custody
- Begin Bitcoin DCA: \$7,500 purchase in months 1-2

- Research STRC investment opportunity, complete due diligence
- Deploy \$22,500 to STRC if opportunity fits profile

*Time required: 8-10 hours / Value: \$9,300-\$10,200 first year returns*

### LLC Structure Optimization

- Review CPA recommendations for entity consolidation
- Activate publishing LLC for side business operations
- Evaluate S-Corp election timing (when business hits \$60K+ profit)

*Time required: 4-6 hours / Value: \$10,500-\$52,500*

## Critical Success Factors

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- **CPA Partnership:** Proactive CPA essential for coordinating all strategies, quarterly check-ins recommended
  - **Documentation Discipline:** Contemporaneous time logs for STR material participation, meeting records for Augusta Rule
  - **Cash Flow Monitoring:** Track monthly income from STR/MTR conversions, adjust strategy if underperforming
  - **Investment Consistency:** Stick to DCA schedule regardless of Bitcoin volatility (emotional discipline critical)
  - **Quarterly Reviews:** Assess progress every 90 days, pivot strategies that aren't delivering value
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# Your Professional Team

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Strategic partnerships required for successful implementation.

## Essential Team Members

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- **CPA / Tax Strategist:** You mentioned having a proactive CPA. Essential for coordinating all strategies, quarterly estimated tax planning, cost segregation coordination, entity structure optimization. Schedule quarterly meetings minimum.
- **Cost Segregation Specialist:** Required for rental property depreciation acceleration. Obtain 3+ quotes, typical cost \$5K-\$8K per property. Firms to research: Cost Segregation Services Inc, Madison SPECS, Engineered Tax Services.
- **Real Estate Attorney:** May be needed for LLC consolidation, operating agreement updates, state deregistration if consolidating entities. Not required immediately but valuable for entity optimization phase.
- **Insurance Broker:** Essential for STR property coverage (different from standard landlord policy). Get quotes BEFORE launching STR to avoid coverage gaps. Typical increase: \$500-\$1,500 annually.
- **Financial Advisor (Optional):** You mentioned working with financial advisor/wealth manager. Coordinate investment strategy with them, particularly if they're managing your \$500K+ retirement accounts.

## Service Providers (As Needed)

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- **Property Management Software:** Hospitable, Guesty, or PriceLabs for STR automation (\$20-\$100/month). Reduces management time from 10 hours to 2-3 hours weekly.
- **Cleaning Service:** Essential for STR substantial services requirement. Budget \$75-\$150 per turnover.
- **Bookkeeping Service:** Consider hiring professional bookkeeper (\$200-\$500/month) to track business expenses, rental income, prepare reports for CPA. Alternatively, use adult

children in management company role.

- **Bitcoin Custody Solution:** Hardware wallet (\$50-\$200 one-time) OR multi-sig service like Unchained Capital (\$250-\$500/year for collaborative custody).

## When to Expand Team

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As your wealth and complexity grow, consider adding:

- **Estate Planning Attorney:** When net worth exceeds \$1M or when ready to establish trusts, FLP/LLC for family wealth transfer.
- **Real Estate Syndicator:** For passive real estate investing beyond your direct properties (year 2+).
- **Tax Attorney:** If implementing high-complexity strategies (captive insurance, conservation easement, etc.) or if facing audit.

## Professional Fees Budget (Year One)

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| Professional Service                      | Estimated Cost    | ROI                                       |
|-------------------------------------------|-------------------|-------------------------------------------|
| CPA (proactive tax planning)              | \$5,000-\$10,000  | 20-40x (saves \$103K-\$380K in taxes)     |
| Cost Segregation Studies (2-3 properties) | \$12,000-\$24,000 | 4-15x (generates \$52K-\$175K deductions) |
| Real Estate Attorney                      | \$2,000-\$5,000   | 5-25x (optimizes entity structure)        |
| Insurance (STR additional coverage)       | \$1,000-\$3,000   | Essential (protects assets)               |
| Property Management Software              | \$500-\$1,200     | 10-30x (reduces time, increases income)   |



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**Total Professional Fees**

**\$20,500-\$43,200**

**5-18x ROI**

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# Success Milestones

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Track these key performance indicators quarterly to measure progress.

## Q1 2026 Milestones (Jan-Mar)

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| Milestone                        | Target                       | Value Created              |
|----------------------------------|------------------------------|----------------------------|
| Solo 401(k) Established & Funded | Complete by Jan 31           | \$7,350-\$24,150           |
| Backdoor Roth Completed          | Complete by Feb 15           | \$2,450-\$7,350            |
| Cost Segregation Studies Ordered | All 2-3 properties by Mar 31 | Setup for \$52K-\$175K     |
| FROG STR Listing Live            | First booking by Mar 31      | \$500-\$1,500/month income |
| Bitcoin DCA Started              | \$15K deployed by Mar 31     | Portfolio foundation       |

## Q2 2026 Milestones (Apr-Jun)

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| Milestone                      | Target                                    | Value Created            |
|--------------------------------|-------------------------------------------|--------------------------|
| Cost Segregation Completed     | All studies done by May 31                | \$52,500-\$175,000       |
| Management Company Operational | Adult children actively working by Apr 30 | \$8,400-\$28,000         |
| FL Condo MTR Transition        | Corporate tenant secured by May 31        | \$300-\$800/month income |

|                          |                                  |                        |
|--------------------------|----------------------------------|------------------------|
| LLC Structure Optimized  | Consolidation complete by Jun 30 | \$10,500-\$52,500      |
| STRC Investment Deployed | \$22,500 invested by Apr 30      | Begin distributions Q3 |

## Q3-Q4 2026 Milestones (Jul-Dec)

- **FROG STR Performance:** Minimum 60% occupancy, \$6,000-\$18,000 net annual income
- **Bitcoin Portfolio:** \$45,000 fully deployed via DCA by Nov 30
- **STRC Distributions:** Receiving quarterly payments (\$450-\$675/quarter)
- **Tax Savings Realized:** Conservative \$103,600 minimum in actual tax reduction
- **Publishing Business Growth:** Scale from <\$25K to \$40K+ net profit
- **Year-End Planning:** Solo 401(k) contributions maximized, prepare for 2027 scaling

## Key Performance Indicators (Monthly Tracking)

| KPI                         | Target Range                     | Monthly Check                                  |
|-----------------------------|----------------------------------|------------------------------------------------|
| STR Net Income (FROG)       | \$500-\$1,500                    | Track occupancy, ADR, expenses                 |
| MTR Net Income (FL condo)   | \$300-\$800                      | Compare to previous LTR income                 |
| Business Net Profit         | Growing from \$2K to \$5K+/month | Track revenue, expenses, growth rate           |
| Bitcoin DCA Adherence       | On schedule per plan             | Confirm purchases executed regardless of price |
| Management Company Activity | 20-40 hours/month combined       | Timesheets from adult children                 |

## 12-Month Success Criteria

By December 31, 2026, you should have achieved:

- \$103,600-\$379,750 in realized tax savings (conservative to aggressive)
  - \$9,300-\$10,200 in investment returns (Bitcoin + STRC + Real Estate)
  - \$9,600-\$36,000 in additional rental income (FROG STR + FL condo MTR)
  - Combined wealth increase of \$122,500-\$425,950 (equivalent to \$188,500-\$655,300 in W-2 earnings at your 35% rate)
  - Clear path to full W-2 replacement within 18-24 months
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# Additional Resources

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## Tax Strategy Quick Reference

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### Solo 401(k) Contribution Calculator:

- Employee deferral: Lesser of 100% of compensation or \$31,000 (includes \$7,500 catch-up for age 58)
- Employer contribution: ~20% of net self-employment income (after SE tax adjustment)
- Example: \$25K business income = ~\$23K employee deferral + ~\$4,400 employer = ~\$27,400 total

### STR Material Participation Test:

- Requirement: >100 hours AND more than any other person (including property managers)
- Track: Check-in/check-out coordination, guest communications, maintenance scheduling, cleaning oversight
- Documentation: Contemporary time log (spreadsheet tracking date, hours, activities)

### Augusta Rule Documentation:

- Market rate research: Print comparable Airbnb/VRBO listings in your area
- Meeting records: Agenda, attendee list, business purpose, photos of meeting setup
- Rental agreement: Formal contract between LLC (tenant) and you (landlord)
- Payment: Business pays market rate, you report NO income (up to 14 days annually)

## Investment Resources

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### Bitcoin Custody Options:

- Hardware Wallets: Ledger Nano X (\$150), Trezor Model T (\$200) - full self-custody
- Multi-Sig: Unchained Capital (~\$250/year) - collaborative custody with recovery protection

- Avoid: Leaving on exchanges (Coinbase, Kraken) - not your keys, not your Bitcoin

### **Real Estate Accelerator Options:**

- Syndications: RealtyMogul, CrowdStreet for accredited investor apartment/commercial deals
- Mortgage Notes: PeerStreet, Groundfloor for debt investments secured by real estate
- Hard Money Lending: Local opportunities, typically 8-12% returns, property-secured

## **Entity Structure Decision Tree**

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### **When to use different entity types:**

- **LLC (disregarded entity):** Real estate holdings, simple side business <\$60K profit
  - **S-Corporation:** Active business >\$60K net profit (payroll tax savings)
  - **Wyoming LLC:** Best asset protection + low annual fees (\$60/year)
  - **Management Company LLC:** Employ family members, provide services to other entities
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# Important Information

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## Plan Updates & Revisions

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This wealth plan is current as of December 2025 and reflects 2025 tax laws and limits. Tax laws change frequently, and some provisions may be adjusted or eliminated in future years. Review this plan with your CPA quarterly and annually to ensure strategies remain optimal.

## Professional Guidance

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This plan is designed as a strategic roadmap. Implementation requires coordination with qualified professionals including your CPA, financial advisors, attorneys, and other specialists as appropriate. Each strategy should be reviewed in the context of your complete financial situation before implementation.

## Individual Results

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Value estimates provided are ranges based on your income, tax rate, and circumstances. Actual results will vary based on implementation quality, market conditions, timing, and your specific situation. Conservative estimates reflect careful implementation; aggressive estimates require optimal execution across all strategies.

## Investment Considerations

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Investment allocations and expected returns are projections based on historical data and reasonable assumptions. Past performance does not guarantee future results. Bitcoin and other investments carry risks including potential loss of principal. Diversification and dollar-cost averaging help manage but do not eliminate these risks.

## Contact Information

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For questions about this plan or to schedule updates, reach out through your established communication channels. This plan is a living document and should be updated as your

circumstances change, goals evolve, or tax laws are modified.

**Plan Created:** December 2025

**Next Review:** March 2026 (Q1 Progress Check)

Comprehensive Wealth Optimization Plan

Sharon Kelln | December 2025

This plan combines tax optimization, strategic investment allocation, and real estate conversion strategies to accelerate your path to financial independence.